

Products and Services

For customers, the value is derived from products and services of the firm. Once the customers have been segmented, each segment has been profiled, and different gains and pains have been mapped, the products and services need to be matched with the customer profiles. It is important that they create relevant value by generating relevant gains and addressing the correct pain points.

Products and services act as a 'store of value' for businesses, which are ultimately delivered through the purchase and consumption process. The quality of the products and services and the overall experience attached to them ultimately determine the value proposition of the products offered by the company.

However, products and services do not create value by themselves. They must match the needs of targeted customer segments.



For example, an iPhone may be the best smartphone there is, but it is of very little value to someone who works on daily wages.



Cars may be a basic necessity to some, but they are of very little value to the residents of a remote island or village, which has no roads or fuel supply.